

LECTURES 1–3: E-Commerce & Digital Marketing — Full Study Notes

1. What Is E-Commerce?

Simple definition: The use of the Internet to transact business — via Web, mobile browsers, and apps.

Formal definition: *Digitally enabled commercial transactions between and among organizations and individuals.*

Comprehensive definition: E-commerce encompasses the entire online process of **developing, marketing, selling, delivering, and servicing** products or services. It relies on the Internet and other information technologies for every step.

💡 Key insight: E-commerce isn't just about buying — it spans the entire product/service lifecycle.

2. E-Commerce vs E-Business

	E-Commerce	E-Business
What it is	Commercial transactions that cross firm boundaries	Digital processes within a firm
Involves	External parties — buyers, sellers, suppliers	Internal information systems
Example	Amazon selling to customers	A company's internal ERP or HR system

💡 Think of it this way: E-commerce always involves exchanging value with the outside world. E-business is about running your company digitally on the inside.

3. Technological Building Blocks of E-Commerce

Three foundational technologies:

The Internet — A worldwide network of computer networks built on common technical standards. Enables global connectivity.

The World Wide Web — Provides access to trillions of pages created in HTML. Includes the "Surface Web" (indexed by search engines) and the "Deep Web" (not publicly indexed — think databases, banking portals, etc.).

Mobile Platform — Smartphones, tablets, and ultra-lightweight laptops plus mobile apps. This is what enabled m-commerce.

4. Major Trends in E-Commerce (3 Categories)

Business Trends:

- Retail e-commerce and m-commerce settling back to ~10% growth after COVID spike
- ~250 million U.S. adults use smartphone apps
- Social e-commerce: ~\$55 billion in 2022
- B2B e-commerce: ~\$8.5 trillion in 2022 (the giant!)

Technology Trends: Mobile platform, Cloud computing, Internet of Things (IoT), Big Data, Artificial Intelligence, Blockchain, Web3, Metaverse

Societal Trends: User-generated content, privacy invasion concerns (commercial & governmental), Big Tech dominance concerns (Amazon, Google, Meta), growing online security issues

5. The 8 Unique Features of E-Commerce Technology



These are very important — each gives e-commerce a significant business advantage over traditional commerce:

Feature	What It Means
Ubiquity	Available everywhere, anytime — not tied to a physical store
Global Reach	Potential to reach billions of customers worldwide at low cost
Universal Standards	Common technical standards (Internet protocols) work the same everywhere

Information Richness	Can deliver rich media — video, audio, animation, personalized messages
Interactivity	Two-way communication between merchant and consumer
Information Density	Vast amounts of precise, current information can be collected and delivered cheaply
Personalization/Customization	Messages and products tailored to each individual
Social Technology	Users create and share content; social networks distribute it

💡 Exam tip: Know all 8 with real-world examples. E.g., "Ubiquity" — you can shop Amazon at 3 AM from your bed.

6. Types of E-Commerce

Type	Description	Size (2022)
B2B	Business-to-Business	\$8.5 Trillion (largest!)
B2C	Business-to-Consumer	\$1.3 Trillion
C2C	Consumer-to-Consumer	\$200+ Billion
M-Commerce	Via mobile devices	\$500 Billion
Social E-Commerce	Via social media platforms	\$55 Billion
Local E-Commerce	Locally targeted transactions	\$150+ Billion

💡 B2B absolutely dwarfs all other forms combined. Many students assume B2C is biggest — it's not!

7. History of E-Commerce (3 Phases)

Precursors (pre-1995): Baxter Healthcare modem systems (1970s), EDI standards (1980s), French Minitel (1981)

Phase 1 — Invention (1995–2000): Simple retail goods sold online, limited bandwidth, euphoric "dot-com" era visions of friction-free commerce and first-mover advantages. Ended with the **dot-com crash of 2000**.

Phase 2 — Consolidation (2001–2006): Business-driven approach. Traditional large firms expanded online. Start-up financing shrank. Search engine advertising grew. More complex products sold online.

Phase 3 — Reinvention (2007–Present): The smartphone (2007) transformed everything. Web 2.0, social networks, mobile platform, local commerce, on-demand economy (Uber, Airbnb), transformation of marketing.

8. E-Commerce Key Concepts

Friction-Free Commerce: Seamless, obstacle-free buying experience — easy navigation, fast loading, secure payments, user-friendly design.

Lowered Search Costs: The Internet dramatically reduces time and effort needed to find products and compare prices.

Disintermediation: Eliminating middlemen from the supply chain so producers sell directly to consumers online (e.g., a publisher selling e-books directly instead of through a bookstore).

Price Transparency: All costs displayed openly so customers can compare and decide — reduces information asymmetry.

First-Mover Advantage: The competitive benefit of being first to enter a market online. Amazon and Google are classic examples.

9. Digital Marketing

Definition: The use of digital channels, platforms, and technologies to promote products/services/brands to a target audience.

The Digital Marketing Process:

- **Objective:** Promote to a targeted audience
- **Strategy:** Use digital channels & technologies
- **Tactics:** SEO, SEM, Social Media, Email, Analytics
- **Result:** Enhanced brand visibility, customer engagement, conversions

Key Concepts:

Term	Meaning
SEO	Optimizing your site to rank higher in search results organically (free)
SEM	Paid advertising to appear in search results (Google Ads, etc.)
PPC	Pay-Per-Click — you pay only when someone clicks your ad
Marketing Funnel	Awareness → Consideration → Conversion → Loyalty
Remarketing	Showing ads to people who already visited your site
Influencer Marketing	Using social media personalities to promote products
CMS	Content Management System (e.g., WordPress) for managing digital content

10. Careers in Digital Marketing & E-Commerce

In-House roles (work for one company): SEO Specialist, SEM Specialist, Social Media Specialist, Email Marketing Specialist, E-Commerce Analyst

Agency roles (work with many companies): Account Manager, Digital Marketing Manager, Social Media Strategist, E-Commerce Product Manager

LECTURES 5–6: E-Commerce Business Models

11. What Is a Business Model?

Business Model: A set of planned activities designed to result in a profit in a marketplace.

Business Plan: A document describing the firm's business model.

E-Commerce Business Model: Uses/leverages the unique qualities of the Internet to achieve profit.

12. The 8 Key Elements of a Business Model

Every successful business model must address all eight:

1. Value Proposition — "Why should the customer buy from you?" What makes you better or different? Examples: personalization, lower search costs, convenience, price transparency.

2. Revenue Model — "How will you earn money?" Six major types: Advertising, Subscription, Freemium, Transaction Fees, Sales, Affiliate.

Revenue Model	How It Works	Example
Advertising	Charge for showing ads	Google, Facebook
Subscription	Periodic fee for access	Netflix, Spotify
Freemium	Basic free, premium paid	Dropbox, LinkedIn
Transaction Fee	Commission per transaction	eBay, PayPal
Sales	Sell goods/services directly	Amazon
Affiliate	Earn referral fees	Amazon Associates

3. Market Opportunity — "What marketplace will you serve?" The marketplace is the area of potential commercial value you intend to operate in. Must define realistic revenue potential, usually broken into niches.

4. Competitive Environment — "Who else is in your marketplace?" Includes both direct competitors (same product) and indirect competitors (alternatives). Analyzed by their size, market share, profitability, and pricing.

5. Competitive Advantage — "What makes you special?" Asymmetries (unique resources), first-mover advantages, complementary resources, leverage. Examples: Amazon's logistics network, Google's search algorithm.

6. Market Strategy — "How will you promote and attract customers?" How you enter the market, attract customers, and compete. Even the best idea fails without a strong market strategy.

7. Organizational Development — "How will the firm be structured?" As companies grow, they move from generalists doing everything to specialists in functional departments.

8. Management Team — "Who is leading?" A strong team makes the model work, attracts investors, and has the market knowledge and experience to execute the plan.

13. B2C Business Models (8 Types)

Here are the eight simple ways businesses make money online:

1. **Online Store (E-tailer):** Just like a regular store, but on the internet. They make money by selling products.
2. **Community Hub (Social Network):** A website or app where people hang out, share things, and talk. They make money from ads, charging for special features, or sometimes selling things.
3. **Digital Content Seller (Content Provider):** They create and share things like news, videos, or music online. They make money from ads, charging subscriptions, or selling digital items.
4. **Internet Homepage (Portal):** A website that offers a lot of different things, like a search engine and links to news or other services. They make money from ads and charging fees to other businesses.
5. **Online Middleman (Transaction Broker):** They help people complete transactions online, like booking a flight or buying stocks. They make money by charging a small fee for each transaction.
6. **Online Meeting Place (Market Creator):** They build a website where buyers and sellers can find each other (like eBay or Etsy). They make money by taking a cut of the sales or charging the sellers a fee. This also includes services like Uber and Airbnb.
7. **Digital Service Provider:** They offer useful services online, like email or maps, instead of a traditional business. They make money from service fees, subscriptions, or ads.
8. **Mix-and-Match (Hybrid):** They combine two or more of the above models to make money in a few different ways.

Here are the five main ways businesses sell to other businesses (B2B) online, explained simply:

1. **E-Distributor:** Think of it as a huge online store for things businesses need for maintenance and repairs. They buy from many suppliers and sell to many customers.
 - *Simple Example:* An online store that sells tools, safety gear, and spare parts to any factory or office.
2. **E-Procurement Company:** A service that helps big companies buy things *indirectly* (stuff like office supplies or consulting services). It's a platform they pay to use.
 - *Simple Example:* A digital system that manages a company's buying process, like using a service (SaaS) to find and manage suppliers for office furniture.
3. **Exchange:** An open online market where many suppliers compete on price to sell raw materials or standard industrial parts. It often results in very low prices, and many failed because the competition was too harsh.

- *Simple Example:* A website where multiple paper mills bid against each other to sell a huge quantity of wood pulp to a printing company.
 - 4. **Industry Consortium:** Similar to an Exchange, but it's owned and controlled by the powerful, biggest companies in an industry. They set the rules and select the suppliers, making it more stable.
 - *Simple Example:* A shared marketplace created by the top car manufacturers to buy standard parts like tires or glass from pre-approved, trusted suppliers.
 - 5. **Private B2B Network:** A company's *own* private digital system for managing its long-term, trusted supplier relationships. It's not open to the public.
 - *Simple Example:* Walmart's secure computer system that it uses to coordinate orders, inventory, and logistics only with its select, long-time suppliers.
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15. Value Chains and Value Webs

The highlighted text explains how the **Internet affects business value**.

Here is a breakdown in simple language:

1. **Industry Value Chain:** This is the whole path a product takes, from the very first raw materials (suppliers) all the way to the final customer (retailers).
 - **Internet's Impact:** The Internet makes it cheaper and easier to share information and complete transactions. This makes the whole process faster and more efficient for everyone involved.
2. **Firm Value Chain:** This is the set of essential activities *inside* one company that create value.
 - **Primary Activities (Creating the Product):** Getting materials (Inbound Logistics) → Making the product (Operations) → Shipping it out (Outbound Logistics) → Selling it (Sales & Marketing) → Fixing issues after the sale (After-Sales Service).
 - **Secondary Activities (Supporting the Product):** Management (Administration), Hiring/Training (Human Resources), Technology (Information Systems), Buying supplies (Procurement), Handling money (Finance).
 - **Internet's Impact:** The Internet helps a company run its operations more smoothly, allows it to make unique products that stand out (differentiation), and enables perfect coordination between all these internal steps.
3. **Value Web:** This is a modern, networked idea where a company uses the Internet to connect and coordinate its value chain with the value chains of *all* its partners (suppliers, distributors, and customers).
 - **How it Works:** They are all connected using special software systems like CRM (Customer Relationship Management), ERP (Enterprise Resource Planning), and SCM (Supply Chain Management), often using online B2B (business-to-business) platforms. It's like one big, connected network for

creating and delivering value.

16. Business Strategy & Disruption

Five Generic Strategies: Product/Service Differentiation, Cost Competition, Scope (broad market), Focus/Market Niche, Customer Intimacy.

Disruptive vs. Sustaining Technology:

A **disruptive technology** transforms markets by displacing existing products (e.g., streaming vs. DVDs, smartphones vs. digital cameras).

A **sustaining technology** incrementally improves existing products (e.g., a faster laptop).

Stages of Disruption:

1. Disruptors enter with a lower-quality product
 2. Disruptors improve their product over time
 3. The new product becomes superior to existing ones
 4. Incumbent companies lose market share
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Top Things to Remember for Exams

The 8 unique features of e-commerce technology (Ubiquity, Global Reach, Universal Standards, Richness, Interactivity, Information Density, Personalization, Social) are a classic exam topic. So is the difference between e-commerce and e-business, all 8 elements of a business model, the 6 revenue models, and B2B being far larger than B2C. Know the 3 historical phases of e-commerce and what distinguishes each one.

Key E-Commerce & Digital Marketing Exam Topics

Based on the study notes, the most critical areas to know for the exam are: 1. The 8 Unique Features of E-Commerce Technology

These features provide e-commerce with a significant business advantage:

- **Ubiquity:** Available everywhere, anytime, not tied to a physical store (e.g., shopping Amazon from your bed).
- **Global Reach:** Potential to reach billions of customers worldwide at low cost.

- **Universal Standards:** Common technical standards (Internet protocols) work the same everywhere.
- **Information Richness:** Can deliver rich media—video, audio, animation, personalized messages.
- **Interactivity:** Two-way communication between merchant and consumer.
- **Information Density:** Vast amounts of precise, current information can be collected and delivered cheaply.
- **Personalization/Customization:** Messages and products tailored to each individual.
- **Social Technology:** Users create and share content; social networks distribute it.

2. E-Commerce vs. E-Business

Feature	E-Commerce	E-Business
What it is	Commercial transactions that cross firm boundaries (external).	Digital processes within a firm (internal).
Involves	External parties (buyers, sellers, suppliers).	Internal information systems (ERP, HR system).
Example	Amazon selling to customers.	A company's internal ERP or HR system.

3. The 8 Key Elements of a Business Model

Every successful model must address:

1. **Value Proposition:** "Why should the customer buy from you?"
2. **Revenue Model:** "How will you earn money?" (See below)
3. **Market Opportunity:** "What marketplace will you serve?"
4. **Competitive Environment:** "Who else is in your marketplace?"
5. **Competitive Advantage:** "What makes you special?" (e.g., Amazon's logistics).
6. **Market Strategy:** "How will you promote and attract customers?"
7. **Organizational Development:** "How will the firm be structured?"
8. **Management Team:** "Who is leading?"

4. The 6 Revenue Models

The primary ways e-commerce firms earn money:

- **Advertising:** Charge for showing ads (e.g., Google, Facebook).
- **Subscription:** Periodic fee for access (e.g., Netflix, Spotify).
- **Freemium:** Basic free, premium paid (e.g., Dropbox, LinkedIn).
- **Transaction Fee:** Commission per transaction (e.g., eBay, PayPal).
- **Sales:** Sell goods/services directly (e.g., Amazon).

- **Affiliate:** Earn referral fees (e.g., Amazon Associates).

5. B2B vs. B2C E-Commerce Size

B2B (Business-to-Business) absolutely dwarfs all other forms combined. In 2022, B2B was estimated at **\$8.5 Trillion**, making it the largest type of e-commerce, while B2C (Business-to-Consumer) was \$1.3 Trillion.⁶ The 3 Historical Phases of E-Commerce

- **Phase 1 - Invention (1995–2000):** Characterized by simple retail goods, limited bandwidth, and the euphoric "dot-com" era, ending with the **dot-com crash of 2000**.
- **Phase 2 - Consolidation (2001–2006):** A business-driven approach where traditional large firms expanded online, startup financing shrank, and search engine advertising grew.
- **Phase 3 - Reinvention (2007–Present):** Sparked by the smartphone (2007) and driven by Web 2.0, social networks, the mobile platform, and the on-demand economy.

Would you like me to quiz you on any of these topics, or dive deeper into any particular section?